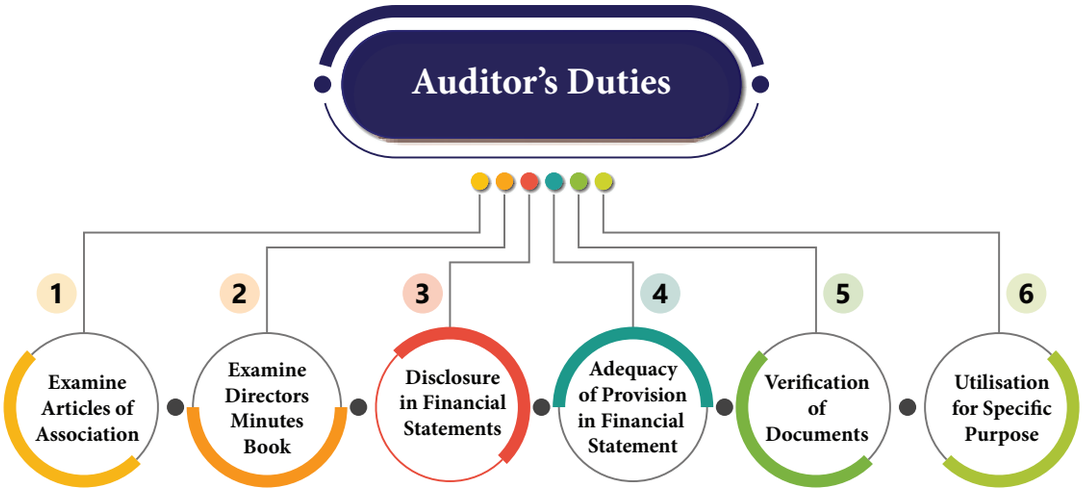
5. **Verification of Documents:** The auditor should examine all the documents and ensure that the amount to be created as provision is adequate and sufficient to meet the loss or liability.

6. **Utilisation for Specific Purpose:** He has to ensure that the provisions created are utilized for the specific purpose for which they are created.



8.3 Differences Between Reserves and Provisions

Generally the term 'Reserves' and 'Provisions' are used together, giving an impression that both are one and the same thing. However, it is desirable to understand the differences between the two terms.

S.No.	Basis	Reserves	Provision
1.	Meaning	Reserve is that portion of current or accumulated profits which is kept aside for meeting some known or unknown liabilities. It is an appropriation of profit.	Provision is a charge against the profit to meet known or unknown liabilities or losses.
2.	Creation	A Reserve is created by debiting Profit and Loss Appropriation Account.	A Provision is debited to Profit and Loss Account.
3.	Nature	A reserve is created for unknown liabilities.	A provision is made for a known liabilities.
4.	Purpose	The main object of creation of reserve is a matter of financial policy of a business concern. It is created without taking into account the actual amount required except in the case of redemption of debentures.	Provision is created as a legal necessity.

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